BREAKWAVE ADVISORS

Tanker Shipping

Bi-Weekly Industry Report

September 9, 2025

- **VLCC Strength Continues on the Back of Solid Oil Flows –** VLCC spot rates entered September on their **strongest footing** since the earlier June surge, with uncovered third-decade stems in the East again driving **heightened activity** and pushing AG-East rates higher. **Chinese stockpiling** continues to provide support, while charterers face resistance as owners maintain a firm stance amid a tightening tonnage list. Rates for VLCCs moved sharply higher both East and West of Suez. The tonnage lists remain constrained, and incremental Nigerian and Iraqi volumes are creating additional employment opportunities. Despite increasing ballasting tonnage from the East entering the market, **charterers are finding it difficult to cap** gains in the Atlantic as owners push for higher returns. For now, VLCC freight is supported by uncovered September stems and a tight tonnage list, but the sustainability of this strength into Q4 will depend on October program activity and the pace at which available tonnage replenishes. Furthermore, **Asia's** import **appetite** remains **critical**, particularly regarding China's strategic stockpiling, currently estimated at more than half a million barrels per day. This development continues to be a **wild card** for the tanker market but also across the oil markets as core oil demand is not currently growing to the same extend as the recent oil supply increases and flow **distortion** from **Chinese stockpiling** remains an issue.

- **OPEC+ Add More Barrels into the Market, Tankers to Benefit –** OPEC+ has **continued** its monthly production **increases**, adding another 137,000 barrels per day in October. Although most member states are at or near their production limits, Saudi Arabia and the United Arab Emirates remain the two countries with sufficient spare capacity to raise output further. With approximately 2.5 million barrels per day of new production added over the past year, the oil market appears to be undergoing a **strategic shift**: OPEC+ seems prepared to pursue **market share** even if it means weaker **price control**, a stance not widely observed in the past decade. With oil prices hovering in the low $60s per barrel, U.S. shale oil, characterized by higher breakeven levels relative to many other regions, becomes the focal point of this strategy. For the **tanker market**, the notable volume increase and the long-haul nature of these cargos suggest that OPEC+'s approach could **sustain robust tanker** rates in the near term, particularly through the traditionally strong fourth quarter.

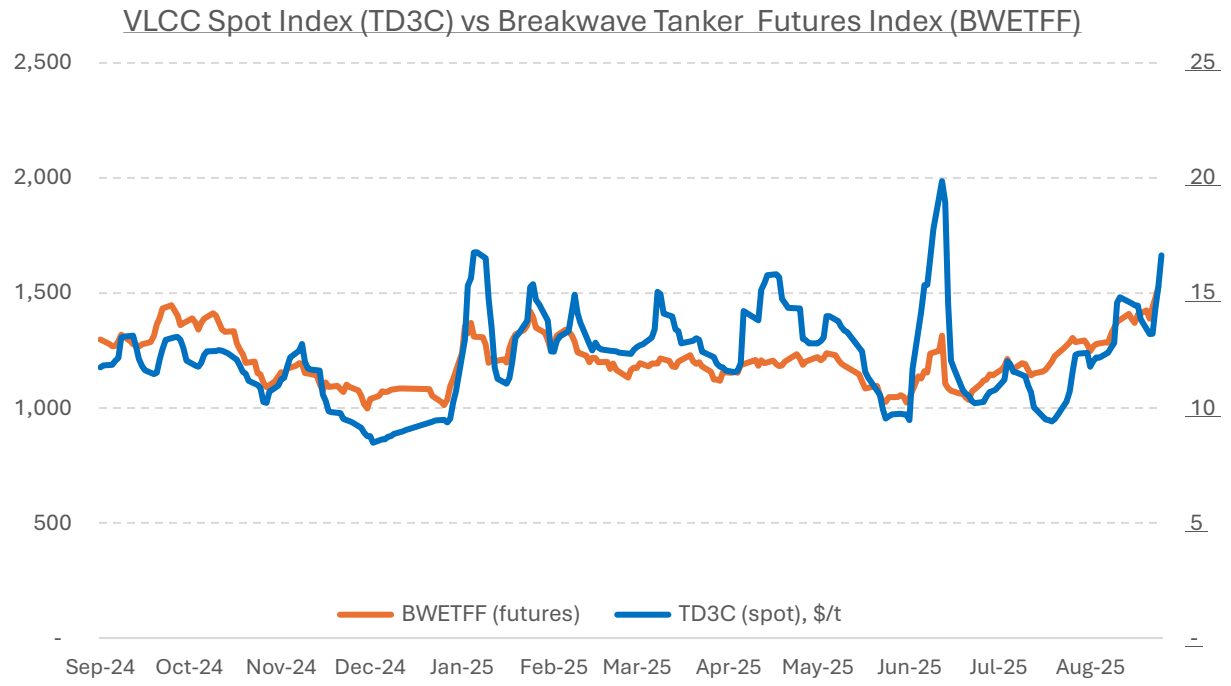
- **Our Long-term View –** The tanker market is recovering from a long period of staggered rates as the growth in new vessel supply shrinks while oil demand remains elevated in line with the global economy. A historically low orderbook combined with favorable shifting trade patterns should continue to support increased spot rate volatility, which combined with the ongoing geopolitical turmoil, should sustain freight rates in the medium to long term.

Short-term Indicators	
Momentum:	**Positive**
Sentiment:	**Positive**
Fundamentals:	**Positive**

Breakwave Tanker Futures Index:	**1591**
30D: 23.1%	↑
YTD: 47.1%	↑
YOY: 25.5%	↑
VLCC Middle East-Asia Spot Rates:	**16.51**
30D: 34.4%	↑
YTD: 83.9%	↑
YOY: 53.4%	↑

Reuters:	BWET.K
Bloomberg:	BWET US
Exchange:	NYSE

Breakwave Advisors Research
research@breakwaveadvisors.com



The Baltic TD3C Index measures the spot rate in USD per ton for Very Large Crude Carriers (VLLCC) operating in the Middle East to Asia route. The Breakwave Tanker Futures Index (BDRYFF) is designed to track freight futures contracts with a sector weighting of 90% VLCC TD3C and 10% Suezmax TD20 and a weighted average maturity of approximately 50-70 days.

Tanker Fundamentals

Demand	YTD	YOY
World Oil Demand	105,219 kbpd	1.2%
Oil Supply, OPEC	28,550 kbpd	5.4%
Oil Supply, non-OPEC	72,919 kbpd	0.7%
OECD Total Crude Oil Stocks	1033.3 MMbls	-3.1%
US Crude Oil Exports	23.5 MMbls	-6.6%
China Oil Imports	376.5 MMbls	2.6%
Global Crude Oil Floating Storage	77.7 MMbls	26.2%

Supply		
Tanker Fleet	705.4 mdwt	1.7%

Freight Rates		
VLCC Middle East-Asia, USD/ton	12.60	-12.4%
Suezmax West Africa-Europe, USD/ton	16.52	-17.5%

Note: *All numbers as of latest available; Imports/Exports/Production are YTD sums as of latest reported; Inventories/Fleet are weekly totals*
Sources: *Bloomberg, IEA, Clarksons and Breakwave Advisors*

Disclaimer: *This research report has been prepared by Breakwave Advisors LLC solely for general information purposes and for the recipient's internal use only.* ***This report does not constitute and will not form part of and should not be construed as a solicitation of any offer or advice to buy or sell any security, commodity or instrument or related derivative or to participate in any trading or investment strategy****. The opinions and estimates included herein reflect views and available information as of the dates specified and may have been and may be subject to change without notice. An investment in BDRY and/or BWET ("the Funds") involves significant risks. You could lose all or part of your investment in the Funds, and each of the Fund's performance could trail that of other investments. The value of the Shares of the Funds relates directly to the value of, and realized profit or loss from, the Freight Futures and other assets held by the Fund, and fluctuations in price could materially affect the Funds' shares. Investments in freight futures typically fluctuate in value with changes in spot charter rates. Charter rates for dry bulk and tanker vessels are volatile and have declined significantly since their historic highs and may remain at low levels or decrease further in the future. The Funds will not take defensive positions to protect against declining freight rates, which could cause a decline to the value of the Funds' shares.* ***The Funds are not a mutual funds or any other type of investment company within the meaning of the Investment Company Act of 1940, as amended, and are not subject to regulation thereunder.***
Please visit www.breakwaveadvisors.com/disclosures

BREAKWAVE